

ROSS TAX PREPARATION LLC

Data Retention and Disposal Policy

Version 1.0 | Effective Date: January 1, 2025

1. Purpose

This Data Retention and Disposal Policy establishes guidelines for the retention, archival, and secure disposal of consumer and business data at Ross Tax Preparation LLC ("the Company"). This policy ensures compliance with applicable federal and state data privacy laws, including but not limited to the IRS record retention requirements, the Gramm-Leach-Bliley Act (GLBA), and state-level data protection regulations.

2. Scope

This policy applies to all data collected, processed, and stored by the Company through:

- The Ross Tax mobile application (iOS/Android)
- The Ross Tax web administration portal
- Third-party integrations including Plaid, payment processors, and communication services
- Physical and digital records maintained in the course of business operations

3. Data Classification and Retention Periods

3.1 Consumer Financial Data (via Plaid)

Data Type	Retention Period	Justification
Plaid Access Tokens	Duration of active bank connection	Required for ongoing transaction synchronization
Bank Account Numbers	Duration of active service relationship	Required for ACH payments and bookkeeping
Routing Numbers	Duration of active service relationship	Required for ACH payments
Transaction History	7 years from tax filing date	IRS record retention requirement (IRC §6501)
Account Balances	30 days (rolling)	Real-time dashboard display only

3.2 Consumer Personal Data

Data Type	Retention Period	Justification
Name, Email, Phone	Duration of account + 30 days post-deletion	Required for service delivery
Social Security Number (SSN)	7 years from tax filing date	IRS record retention requirement
Date of Birth	Duration of account	Identity verification
Physical Address	7 years from tax filing date	Tax preparation requirement
Session Tokens	Automatic expiration (configurable)	Authentication only
Push Notification Tokens	Duration of active app usage	Service communication

3.3 Tax and Business Records

Data Type	Retention Period	Justification
Tax Returns (Forms 1040, etc.)	7 years	IRS requirement (IRC §6501)
W-2 and 1099 Forms	7 years	IRS requirement
Business Receipts	7 years	IRS Schedule C requirement
Appointment Records	3 years	Business operations
Invoice Records	7 years	Financial reporting requirement
Client Notes	Duration of service relationship	Service quality

3.4 Application and System Data

Data Type	Retention Period	Justification
Application Logs	90 days	Security monitoring and debugging
API Request Logs	90 days	Security and performance monitoring
Error Logs	180 days	Issue tracking and resolution
Audit Trails	3 years	Compliance and investigation

4. Data Disposal Procedures

4.1 Consumer-Initiated Deletion

Consumers may request deletion of their data through:

- In-app account deletion feature
- Email request to yoandyross@rosstaxpreparation.com
- Phone request to (806) 934-2018

Upon receiving a valid deletion request:

1. Verification: Confirm the identity of the requester (within 24 hours)
2. Data Identification: Identify all data associated with the consumer (within 48 hours)
3. Deletion Execution: Remove consumer data from active systems (within 30 days)
4. Third-Party Notification: Notify relevant third-party providers (e.g., Plaid) to revoke access tokens
5. Confirmation: Notify the consumer that deletion has been completed

4.2 Exceptions to Deletion

The following data may be retained beyond the deletion request as required by law:

- Tax records required by IRS regulations (7-year retention)
- Financial records required for regulatory compliance
- Data subject to active legal proceedings or investigations

4.3 Automatic Data Disposal

The following data is automatically disposed of:

- Session Tokens: Automatically expired and purged per configured timeout
- Expired Plaid Tokens: Revoked and deleted when bank connection is disconnected
- Temporary Upload Files: Deleted within 24 hours of processing
- Application Cache: Cleared on each deployment cycle

4.4 Secure Disposal Methods

Data Location	Disposal Method
MongoDB Atlas	Permanent deletion via database operations with verification
Application Memory	Garbage collection upon process termination
Cloud Storage	Secure deletion via provider APIs (Railway, Vercel)
Backup Systems	Overwritten per MongoDB Atlas backup rotation schedule (7 days)
Physical Documents	Cross-cut shredding

5. Plaid-Specific Data Handling

5.1 Plaid Access Token Lifecycle

1. Creation: Generated when consumer completes Plaid Link flow
2. Storage: Encrypted at rest in MongoDB Atlas (AES-256)
3. Usage: Used exclusively for authorized transaction synchronization
4. Revocation: Immediately revoked when:
 - Consumer disconnects their bank account
 - Consumer deletes their account
 - Plaid notifies of token invalidation
5. Deletion: Permanently removed from database within 24 hours of revocation

5.2 Plaid Transaction Data

- Transaction data retrieved via Plaid is stored in the Company's database for the purpose of bookkeeping and tax preparation services
- Data is classified as Confidential and subject to the retention periods defined in Section 3.1
- Transaction data is never sold, shared with unauthorized third parties, or used for purposes beyond the stated service delivery

6. Compliance and Legal Framework

This policy is designed to comply with:

- Internal Revenue Code (IRC) §6501: 7-year retention for tax records
- Gramm-Leach-Bliley Act (GLBA): Protection of consumer financial information
- Texas Business & Commerce Code §521: Data breach notification requirements
- FTC Safeguards Rule: Protection of customer information
- Plaid Developer Terms of Service: Data handling requirements for Plaid integrations

7. Policy Review and Updates

- This policy is reviewed annually by the Information Security Officer
- Updates are made in response to:
 - Changes in regulatory requirements
 - Changes in business operations or technology
 - Security incidents or audit findings
 - Changes in third-party provider requirements (e.g., Plaid policy updates)
 - All updates are documented with version history and effective dates

8. Enforcement

Violation of this policy by employees or contractors may result in:

- Disciplinary action up to and including termination
 - Legal action as appropriate
 - Notification to affected consumers and regulatory bodies if a breach results from the violation
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Approved by:

Yoandy Ross, Managing Member

Ross Tax Preparation LLC

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Next Review Date: January 1, 2026

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